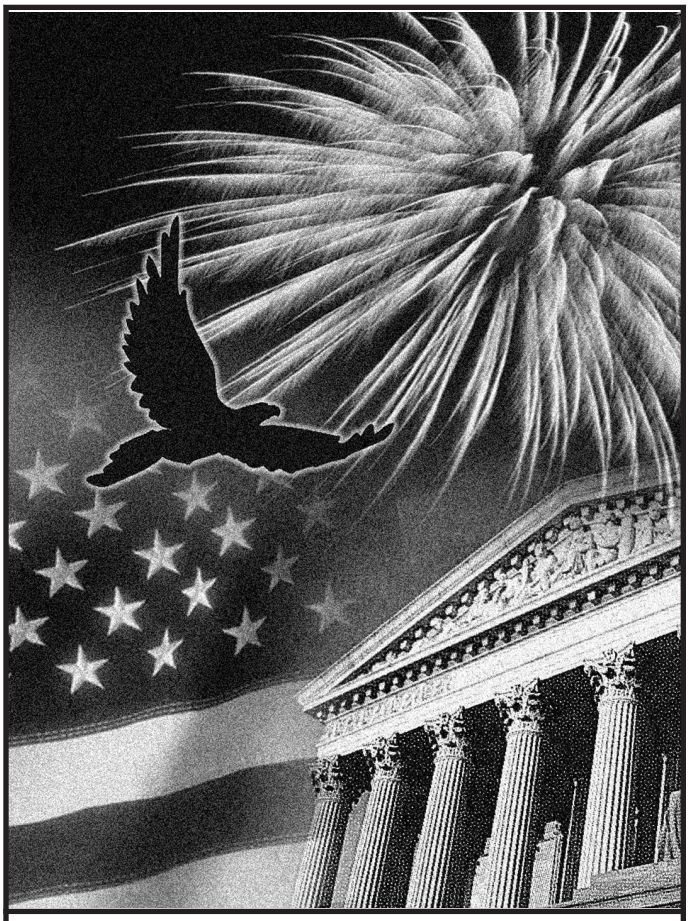
Department of the Treasury
Internal Revenue Service

Publication 926
Cat. No. 64286A

Household Employer's Tax Guide

For use in **2021**



Get forms and other information faster and easier at:

- *IRS.gov* (English)
- *IRS.gov/Spanish* (Español)
- *IRS.gov/Chinese* (中文)
- *IRS.gov/Korean* (한국어)
- *IRS.gov/Russian* (Русский)
- *IRS.gov/Vietnamese* (Tiếng Việt)

Mar 05, 2021

Contents

What's New 1

Reminders 2

Introduction 3

Do You Have a Household Employee? 3

Can Your Employee Legally Work in the United States? 4

Do You Need To Pay Employment Taxes? 4
Social Security and Medicare Taxes 6
Federal Unemployment (FUTA) Tax 9

Do You Need To Withhold Federal Income Tax? 9

What Do You Need To Know About the Earned Income Credit? 10

How Do You Make Tax Payments? 10

What Forms Must You File? 11

What Records Must You Keep? 12

Can You Claim a Credit for Child and Dependent Care Expenses? 12

How Can You Correct Schedule H? 12

How To Get Tax Help 14

Index 19

Future Developments

For the latest information about developments related to Pub. 926, such as legislation enacted after it was published, go to *IRS.gov/Pub926*.

What's New

Coronavirus (COVID-19) related employment tax credits and other tax relief.

- The Families First Coronavirus Response Act (FFCRA), enacted on March 18, 2020, and amended by the COVID-related Tax Relief Act of 2020, provides certain employers refundable tax credits that reimburse them for the cost of providing paid sick and family leave wages to their employees for leave related to COVID-19. Qualified sick and family leave wages and the related credits for qualified sick and family leave wages are only reported on employment tax returns with respect to wages paid for leave taken in quarters beginning after March 31, 2020, and before April 1, 2021, unless extended by future legislation. If you paid qualified sick and family leave wages in 2021 for 2020 leave, you will claim the credit on your 2021 employment tax return. Under the FFCRA, certain

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		THEN you need to ...
A	Pay cash wages of $2,300 or more in 2021 to any one household employee. Don't count wages you pay to: • Your spouse, • Your child under the age of 21, • Your parent (see *Wages not counted*, later, for an exception), or • Any employee under the age of 18 at any time in 2021 (see *Wages not counted*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3%[1] of cash wages. • Your employee's share is 7.65%.[1] (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B	Pay total cash wages of $1,000 or more in any calendar quarter of 2020 or 2021 to household employees. Don't count wages you pay to: • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is 6% of cash wages. • Wages over $7,000 a year per employee aren't taxed. • You may also owe state unemployment tax.

[1] In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.

Note. If neither A nor B above applies, you don't need to pay any federal employment taxes. But you may still need to pay state employment taxes.

Table 2. **Household Employer's Checklist**

You may need to do the following things when you have a household employee.

When you hire a household employee:	☐ Find out if the person can legally work in the United States. ☐ Find out if you need to withhold and pay federal taxes. ☐ Find out if you need to withhold and pay state taxes.
When you pay your household employee:	☐ Withhold social security and Medicare taxes. ☐ Withhold federal income tax. ☐ Decide how you will make tax payments. ☐ Keep records.
By January 31, 2022:	☐ Get an employer identification number (EIN). ☐ Give your employee Copies B, C, and 2 of Form W-2, Wage and Tax Statement. ☐ Send Copy A of Form W-2 with Form W-3 to the SSA. Don't send Form W-2 to the SSA if you didn't withhold federal income tax and the social security and Medicare wages were below $2,300 for 2021.
By April 15, 2022:	☐ File Schedule H (Form 1040), Household Employment Taxes, with your 2021 federal income tax return (Form 1040, 1040-SR, 1040-NR, 1040-SS, or 1041). If you don't have to file a return, file Schedule H by itself.

tax, read Table 2 for an overview of what you may need to do.

TIP *If you don't need to pay social security, Medicare, or federal unemployment tax and don't choose to withhold federal income tax, read* State employment taxes *next. The rest of this publication doesn't apply to you.*

State employment taxes. You should contact your state unemployment tax agency to find out whether you need to pay state unemployment tax for your household employee. For a list of state unemployment tax agencies, visit the U.S. Department of Labor's website at *oui.doleta.gov/unemploy/agencies.asp*. You should also determine if you need to pay or collect other state employment taxes or carry workers' compensation insurance.

Consequences of not paying employment taxes. If you have a household employee and you're required to withhold and pay employment taxes and you don't, you will generally be liable for the employment taxes that you should've withheld and paid. See section 2 in Pub. 15 for additional information. Interest and penalties may also be charged. You may have to pay a penalty if you don't give Forms W-2 to your employees or file Copy A of the forms with the SSA by the due dates. You may also have to pay a penalty if you don't show your employee's social security number (SSN) on Form W-2 or don't provide correct information on the form.